Sales & Finance Handbook

Understanding the Numbers Behind Any Business

Covers revenue, profit, expenses, cash flow, break-even analysis, sales funnels, customer retention, sales KPIs, financial ratios, budgeting, and forecasting — written to apply equally to a bakery, a clothing store, a salon, a restaurant, a gym, or a software company.

Business Copilot Knowledge Base | Document 2 of 3

Table of Contents

1. Revenue

Revenue is the total amount of money a business receives from selling its products or services, before subtracting any costs. It is often called the 'top line' because it appears at the top of an income statement. Revenue alone does not tell you whether a business is healthy — a business can have high revenue and still lose money if its costs are even higher.

Types of Revenue

Revenue Formula

Revenue = Units Sold × Average Price per Unit. Growing revenue therefore has only two levers: sell more units, or increase the average price (or improve the mix toward higher-priced items). Most businesses underuse the second lever out of fear of losing customers, even though a well-justified price increase often affects profit more than a proportional increase in volume.

2. Profit

Profit is what remains of revenue after all costs are subtracted. It is the real measure of whether a business is working, because revenue without profit cannot pay owners, reinvest, or survive a slow period.

Types of Profit

What is Profit Margin?

Profit margin expresses profit as a percentage of revenue rather than a raw amount, which makes it comparable across different sizes of business. Gross margin % = (Gross Profit ÷ Revenue) × 100. Net margin % = (Net Profit ÷ Revenue) × 100. A bakery with 60% gross margin keeps Rs. 60 of every Rs. 100 in sales after direct ingredient and production costs; the remaining Rs. 40 must cover rent, wages, marketing, and profit. Comparing margin percentage over time is usually more informative than comparing raw profit, since raw profit naturally rises as revenue rises even if efficiency is getting worse.

3. Expenses

Expenses are everything a business spends to operate. Understanding the type of expense helps you know which lever to pull when costs need to come down.

Fixed vs Variable Expenses

How Do I Reduce Expenses?

The safest cost cuts are the ones customers never notice — waste reduction, better vendor terms, and process efficiency — because cutting the things customers do notice (ingredient quality, service speed, staff attentiveness) often costs more in lost repeat business than it saves.

4. Cash Flow

Cash flow is the movement of actual cash in and out of the business, and it is different from profit. A business can be profitable on paper but still run out of cash if customers pay late, inventory ties up money, or a large expense is due before the matching revenue arrives. Cash flow problems, not profitability problems, are the most common reason small businesses fail.

Cash Flow Categories

Improving Cash Flow

5. Break-Even Analysis

The break-even point is the level of sales at which total revenue exactly equals total costs — beyond this point, every additional sale contributes to profit.

What is Break-Even Point?

Break-Even Point (in units) = Fixed Costs ÷ (Price per Unit – Variable Cost per Unit). The denominator, Price minus Variable Cost, is called the **contribution margin** — the amount each unit sold contributes toward covering fixed costs before profit begins.

Worked Example

A small gym has fixed monthly costs (rent, base staff salaries, utilities) of Rs. 300,000. Each membership sells for Rs. 5,000 with a variable cost (consumables, per-member admin) of Rs. 500. Contribution margin = Rs. 4,500. Break-even = 300,000 ÷ 4,500 ≈ 67 memberships per month. Below 67 active memberships, the gym loses money; above it, each additional membership adds Rs. 4,500 of pure profit.

Why Break-Even Analysis Matters

It tells you the minimum performance required before a new product, location, or price change is actually viable, and it shows immediately how sensitive the business is to cost or price changes — a small drop in price can raise the break-even point sharply if margins are already thin.

6. Sales Funnel

A sales funnel maps the stages a potential customer moves through, from first becoming aware of a business to becoming a paying, repeat customer. Thinking in funnel stages helps identify exactly where potential customers are being lost.

Typical Funnel Stages

Diagnosing Funnel Leaks

If many people see your content but few visit or inquire, the awareness message or targeting may be mismatched to the audience. If many people inquire but few purchase, the issue is usually price clarity, trust signals, or friction in the buying process. If people purchase once but rarely return, the problem sits in the product experience or retention effort, not in marketing at all — meaning more advertising spend would not fix it.

7. Customer Retention

Customer retention is the ability to keep customers buying over time rather than needing to constantly replace them with new ones. Acquiring a new customer typically costs several times more than retaining an existing one, which makes retention one of the highest-leverage areas in any business.

How Do I Increase Customer Retention?

Retention Rate Formula

Retention Rate % = ((Customers at End of Period – New Customers Acquired) ÷ Customers at Start of Period) × 100. Tracking this monthly reveals whether growth is coming from genuinely satisfied repeat customers or is being propped up entirely by new customer acquisition, which is far more expensive to sustain.

8. Sales KPIs

Sales KPIs measure how effectively a business turns interest into revenue.

Which KPI Measures Sales Performance?

9. Financial Ratios

Financial ratios turn raw numbers into comparable, decision-useful signals.

Ratio	Formula	What It Tells You
Gross Margin %	Gross Profit / Revenue	How much each sale contributes before overhead
Net Margin %	Net Profit / Revenue	Overall profitability after all costs
Current Ratio	Current Assets / Current Liabilities	Ability to cover short-term obligations
Quick Ratio	(Current Assets – Inventory) / Current Liabilities	Liquidity excluding unsold stock
Inventory Turnover	COGS / Average Inventory	How quickly stock is sold and replaced
Debt-to-Equity	Total Debt / Owner's Equity	How reliant the business is on borrowed money
Return on Investment (ROI)	(Gain – Cost) / Cost	Return generated relative to money spent

These ratios matter most when tracked over time and against industry norms, rather than as one-off snapshots. A current ratio below 1.0, for example, signals the business may struggle to pay near-term bills even if it looks profitable on paper.

10. Budgeting

A budget is a plan for how money will be spent and earned over a period, used to control spending before it happens rather than only reviewing it afterward.

Building a Simple Monthly Budget

The 50/30/20-Style Approach for Small Business

Many small businesses find it useful to allocate roughly: 50% of revenue to direct costs and essential operating expenses, 30% to owner pay and reinvestment, and 20% to taxes and a cash reserve — adjusted to the specific margin structure of the industry. Service businesses with low material costs can often reinvest more; inventory-heavy retail and food businesses typically need a larger reserve for stock and spoilage risk.

11. Forecasting

Forecasting is projecting future revenue, expenses, and cash position based on historical data, known trends, and planned changes (a new product, a price increase, a slow season).

Basic Forecasting Methods

Using Forecasts Well

A forecast is most useful when it is revisited monthly against actual results, so the gap between prediction and reality becomes a learning signal rather than a one-time guess. Forecast conservatively for expenses and slightly conservatively for revenue — businesses that survive downturns are usually the ones that planned for slower growth than they hoped for, not faster.

12. Frequently Asked Questions

Q: What is profit margin?

A: Profit expressed as a percentage of revenue. Gross margin % = Gross Profit ÷ Revenue × 100; net margin % = Net Profit ÷ Revenue × 100. It shows efficiency, not just raw profit size.

Q: How do I reduce expenses?

A: Audit subscriptions and vendor contracts, reduce waste, negotiate supplier terms, right-size staffing to demand, and automate repetitive admin work — prioritizing cuts customers won't notice.

Q: What is break-even point?

A: The sales level at which total revenue equals total costs. Break-Even Units = Fixed Costs ÷ (Price – Variable Cost per Unit).

Q: Which KPI measures sales performance?

A: Conversion rate is the core measure, supported by average order value, sales cycle length, customer acquisition cost, and win rate.

Q: What is the difference between profit and cash flow?

A: Profit is revenue minus costs on paper; cash flow is the actual timing of money moving in and out. A business can be profitable but still run out of cash if payments are delayed or tied up in inventory.

Q: How much cash reserve should a small business keep?

A: A common guideline is one to three months of fixed operating expenses, more for businesses with seasonal or unpredictable revenue.

Q: What is Customer Lifetime Value?

A: The total revenue a business can expect from one customer over the full duration of the relationship, used alongside Customer Acquisition Cost to judge whether growth spending is sustainable.

Q: How do I forecast revenue for a new business with no history?

A: Build a driver-based forecast: estimate realistic foot traffic or leads, apply an expected conversion rate, and multiply by average order value, then sanity-check the result against comparable businesses.

Q: What is a good gross margin?

A: It varies widely by industry — restaurants and bakeries often run 55-70% gross margin, retail 40-55%, and software/services can exceed 80%, since digital delivery has very low direct cost per sale.

Q: How often should a business review its budget?

A: Monthly, comparing actual results to plan, with a lighter weekly check on cash position for businesses with tight margins or seasonal swings.